

CHAPTER 3

Instruments & Asset Classes

Explained so simply a 10-year-old gets it

A walk through the big toy store of the market — shares, bonds, baskets, and IPOs — aisle by aisle, with no scary words.

Stock Market Mastery Roadmap • Beginner Level
Educational only — not investment, trading, or tax advice.

A "instrument" is just a **thing you can buy or sell** with your money. An "asset class" is a **family of similar things**. Think of a big toy store with different aisles — each aisle is a family. Let's walk the aisles!

Equity: owning a slice of a company

You already met this in Chapter 1 — a **share (equity)** is a slice of a company. There are two flavours:

- **Common shares**  — the usual kind. You get a vote and a share of profits, but you're *last in line* if the company is in trouble.
- **Preference shares**  — a "VIP pass": you get paid your fixed dividend *before* common shareholders, but usually no voting.

Companies also come in **sizes**, called **market cap** (remember: price × shares = total size):

-  **Large cap** — the biggest, steadiest giants (like the elephants). Safer, slower.
-  **Mid cap** — growing, in-between companies (like horses). More zip, more wobble.
-  **Small cap** — tiny, young companies (like rabbits). Can jump high... or trip and fall.

Debt: lending money and earning interest

Instead of *owning* a slice, you can **lend** your money and get it back later with a little extra (interest). That "IOU" is called a **bond**. You're the lender; they owe you.

- **G-Secs**  — loans to the **government** (very safe, because governments rarely fail to pay).
- **T-bills**  — **short-term** government IOUs (paid back within a year).
- **Corporate bonds**  — loans to **companies**: pay more interest, but a bit riskier than the government.

THE SEE-SAW: YIELD VS PRICE

A bond's **price** and its **yield** (the return you earn) sit on a **see-saw** — when one goes up, the other goes down. If everyone wants a bond, its price rises, so the return for new buyers falls. Don't worry about the maths yet — just remember: **price up, yield down; price down, yield up**.

Mutual funds & ETFs: baskets, not single toys

Instead of buying one share, you can buy a **ready-made basket** of many shares in one go. Two popular baskets:

Basket	How it works	Good for
Mutual Fund	You give money to a fund; a manager buys a basket for you. Priced once a day (its NAV).	hands-off, regular saving (SIP)
ETF	A basket that trades like a single stock all day on the exchange.	buying/selling anytime like a share

Baskets come in two styles:

- **Active**  — a manager *picks* stocks trying to beat the market (charges more).
- **Passive / Index fund**  — just *copies* an index like the Nifty 50 (charges very little).

TWO WORDS WORTH KNOWING

NAV = the **price of one unit** of a mutual fund (its "sticker price" for the day). **Expense ratio** = the **small yearly fee** the fund keeps. A tiny fee sounds harmless, but over many years it quietly eats your returns — so lower is usually better.

Derivatives: a quick peek (deep dive later)

A **derivative** is a deal whose value **comes from something else** — like a bet on where a stock or index will go. The two big ones:

- **Futures**  — a promise to buy/sell *later* at a price fixed *today*.
- **Options**  — a *ticket* that gives you the **right (not the duty)** to buy or sell at a set price.

These are powerful but risky — we'll go deep in the Advanced level. For now, just know they exist and that they can multiply *both* gains and losses.

Other aisles in the store

-  **Currency** — trading one country's money against another, like **USD-INR** (dollars vs rupees).
-  **Commodities** — real stuff like **gold, silver, and crude oil**, traded on the **MCX** exchange.
-  **REITs** — own a slice of big **buildings/offices** and earn rent, without buying a whole building.
-  **InvITs** — own a slice of big **projects** like roads and power lines, and earn from them.

IPO investing: getting in on day one

An IPO is a company's *first* sale of shares (Chapter 1). Applying for one has its own little rulebook:

- **RHP**  — the "**Red Herring Prospectus**": the company's big info booklet (business, money, risks). Read it!
- **Price band**  — the **low-to-high price range** you can apply at.
- **Lot size**  — you must buy in **fixed bundles**, not single shares.
- **Categories**  — spots are split among **retail** (small people), **HNI** (rich people), and **QIB** (big institutions).
- **ASBA / UPI**  — how you apply: your money is only **blocked** (not taken) until shares are allotted.
- **GMP**  — "Grey Market Premium": an **unofficial rumour price**. Fun to watch, but **not reliable** — never decide on GMP alone.

Key ideas to remember

- **Risk-return ladder** — from calm to wild: **cash → debt → equity → derivatives**. More possible reward usually means more possible loss.
- **Liquidity differs a lot** — some things are easy to buy/sell (busy), others are hard (quiet). Quiet things cost more to get in and out of, so it should shape *what* you trade.
- **Index fund vs ETF vs single stocks** — a basket priced once a day, a basket that trades live, or one company on its own.
- **IPO valuation basics** — ask: is the price fair for *the company*, or is it set high to benefit the **promoters/selling shareholders** (the OFS part)?

PRACTICAL EXERCISES

-  **Compare a Nifty 50 index fund and a Nifty 50 ETF**: look at the **expense ratio**, the **tracking error** (how closely it copies the index), and *how you buy* each.
-  **Pull the RHP** of one recent IPO and find: the **objects of the issue** (why they want the money), the **valuation** (its P/E vs rivals), the **risk factors**, and **promoter holding** after the issue.
-  **Build a one-page IPO checklist** — business, financials, valuation, use of money, red flags. You'll reuse it every time!

REAL-WORLD APPLICATION

-  A disciplined **IPO checklist** turns applying from "gamble on a listing pop" into an **evidence-based decision** — the same careful thinking you'd use for any stock.
-  Knowing an instrument's **liquidity** tells you where **slippage and gap risk** hide *before* you put money in.

ONE-LINE SUMMARY

The market is a big store with aisles: **equity** (own a slice), **debt** (lend and earn), **funds/ETFs** (ready-made baskets), **derivatives** (bets on other things), plus **currency, commodities, REITs & InvITs**. Match the aisle to your goal and your comfort with risk — and for **IPOs**, read the **RHP** and use a checklist instead of chasing **GMP**.